

El Niño, fertilizer, and war pose renewed 2027 food price risks

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El Niño

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The first Hormuz closure did not trigger the broad food price shock expected in March as inventories, advance purchases, and strong harvests absorbed the disruption.

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The renewed closure, however, will combine with El Niño and Black Sea disruption to push benchmark food commodity prices 10–18% above February 2026 levels by June 2027.

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The commodity price surge will only partially pass through to consumers, as processing, distribution, labor, and retail margins account for the bulk of shelf prices—leaving retail food prices 1–2.5% higher than otherwise expected in advanced economies and 3–6% higher in vulnerable import-dependent markets by late 2027.

The first Hormuz shock undershot our March forecast. Benchmark food commodities rose 4% from February to June, below the Eurasia Group basecase expectation of 8–15%. Inventories and fertilizer purchased before the closure carried buyers through the disruption, food shipments were rerouted faster than expected, and harvest prospects strengthened. The call was directionally correct but overstated how quickly and broadly a logistics and input-cost shock would become a food supply shock.

The second closure raises commodity risks, but retail pass-through remains limited. Buyers now hold thinner inventories and shorter order books, leaving less protection against another fertilizer and freight shock (please see: [Agriculture prices set to rise as second Hormuz shock hits buffers](#) , 21 July 2026). Despite shortfalls forecast for European production, the second-largest global grain harvest on record is expected in 2026, limiting the likelihood of an immediate impact. Eurasia Group’s new basecase has benchmark food commodity prices 10–18% above February 2026 levels by June 2027. Retail food prices follow more slowly, rising 1–2.5% above baseline in advanced economies and 3–6% in vulnerable markets by December 2027. The lower retail call reflects slower and weaker pass-through than we assumed in March, as processing, freight, labor, and retail margins make up a significant portion of the shelf price.

El Niño increases the risk of weaker harvests in 2027. An 81% chance of a very strong event in October–December raises the risk for agricultural output, but the effects will be uneven. Indonesia and the Philippines face drier rice seasons and potentially greater import needs, while Vietnam’s robusta

coffee and rice exports are exposed. Ecuador faces the opposite hazard through excessive rainfall and flooding affecting cocoa, bananas and ports. Australia, India, and Thailand remain important swing producers, while the US and Europe are less directly exposed to the core El Niño pattern.

Russian attacks on Ukrainian sea ports have halted grain shipments. More than 90% of Ukraine's agricultural exports leave through three Odesa ports, where Russia has intensified its campaign as part of a strategy to disrupt grain exports. Ukraine supplies roughly 6% of traded wheat and 11% of corn. An extended export halt risks fueling food price inflation, particularly in importing countries in the Middle East, along with disruption to seed exports, mainly to Europe (please see: Black Sea strikes threaten Ukraine grain export revenue , 24 July 2026).

Signposts to watch

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Hormuz traffic: Kpler-tracked transits remaining below 5% of prewar levels would signal a worsening fertilizer and energy shock, while a sustained recovery above 20% would point to relief.

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August–October farm data: Yield and planting data will show whether the 2026 buffer holds. US corn and soybean yields, India's rice, Australia's wheat, and Southeast Asian rice and coffee will indicate the extent of any weather losses. Brazil's fertilizer deliveries and September planting will signal whether higher input costs are reaching 2027 production.

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Black Sea export flows: Ukrainian monthly shipments falling below 4 million tons a month or disruption at Russia's Novorossiysk port would signal a broader grain shock.

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